

Robust Swing v1 — The Complete Strategy, Explained Simply

Who is this for? You. Even if you have *never* traded before. I will explain everything from zero, with everyday examples, and always tell you the **why** behind each rule — not just the *what*.

Reading tip: Read Parts 1–4 slowly (the ideas). Parts 5–9 are the actual rules. Parts 10–14 are the "putting it together + build" details.

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Part 1 — What are we even doing?

What is a stock?

A **stock** (or "share") is a tiny slice of ownership in a company. If a company is a giant pizza, one share is one slice. If the company does well, your slice becomes worth more. You can buy a slice today and sell it later for a higher (or lower) price.

What is "swing trading"?

There are three common ways people trade. Think of a long train journey:

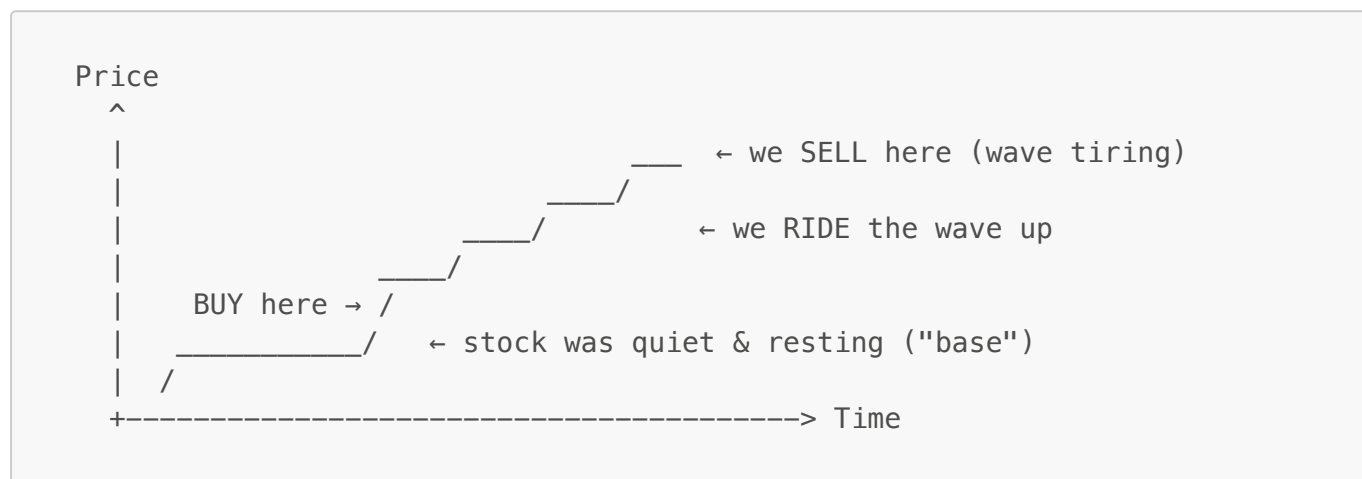
Style	Train analogy	Holding time
Investing (buy & hold)	Ride the train from the first station to the last	Years
Swing trading ← <i>this doc</i>	Get on, ride for a few stations , get off	A few days to a few weeks

Style	Train analogy	Holding time
Day trading	Jump on and off at every single stop	Minutes to hours

Swing trading = catch one clean "up-move" (a swing) that lasts a few days to a few weeks, then get off. We're not trying to catch the whole journey, and we're not jumping around all day.

What does a swing trade look like?

A stock price never goes straight up. It moves in waves — up a bit, rest, up again. We try to buy just as a new up-wave *starts*, ride it, and sell before it tires out.



That's the whole game: **buy as the spring uncoils, ride, get off before it runs out of energy.** Everything below is just *how to do that safely and repeatably*.

Part 2 — The one big idea

Here is the single most important idea in this entire document:

Big up-moves usually start after a boring, quiet period — not out of the blue.

Think of a runner about to do a long jump. They don't jump from a standing position. They **crouch down first** (gather energy), then explode upward. The tighter and more patient the crouch, the bigger the jump.

Stocks do the same thing. This "crouch" is called a **base** (or "consolidation"). During a base:

- The price stops going down and moves **sideways** in a narrow range.
- Trading **volume dries up** (fewer people buying/selling — everyone's waiting).
- The stock looks *boring*. Most people ignore it. **That's exactly when we start watching it.**

Then one day, **volume explodes** and the price **breaks out** above the top of the base. That's the spring uncoiling — the start of a new up-wave.



(the "crouch") | volume is LOW here

↓ came down first, then went quiet

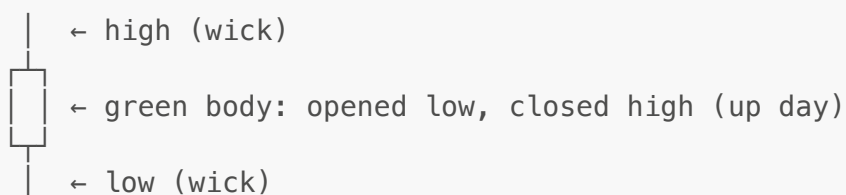
Our whole strategy is built to find these crouches and buy the jump — while protecting ourselves when the jump fails (because sometimes it does).

Part 3 — Our tools

We use a few simple measuring tools called **indicators**. An indicator is just a number calculated from price or volume that tells us *one specific thing*. Here are the only ones we need — each explained with an everyday example.

3.1 Candles (how we read price)

Each day, a stock has an open, high, low, and close price. We draw this as a **candle**. A green candle = price went **up** that day. Red = went **down**. The thin lines ("wicks") show the highest and lowest points touched.



You don't need to master candles — just know green = up day, red = down day.

3.2 Moving Average (MA) — "your average marks"

Imagine your test scores bounce around: 60, 90, 40, 85... hard to see if you're improving. So you take the **average of your last 50 tests**. That smooth average shows your *real* trend, ignoring one lucky or unlucky day.

A **Moving Average** does exactly this for price: it's the average closing price over the last N days. We use:

- **50-day MA** = the stock's medium-term mood.
- **200-day MA** = the stock's (or market's) long-term mood.

Why it matters: if today's price is *above* its 200-day average, the trend is healthy. Below it = something's wrong. Simple and powerful.

3.3 The 200-DMA of the *whole market* — "the mood of the school"

Here's a subtle but huge idea. Imagine your whole school is in a **sad mood** (exams went badly for everyone). Would you throw a big party? No — even a good reason to celebrate falls flat when the whole room is down.

The stock market is the same. When the **overall market** (the NIFTY index) is weak, even good stocks with perfect setups tend to fail. So before ANY trade, we check: **is the whole market above its 200-day average?** That's the school's mood. 🟢 Good mood → we trade. 🔴 Bad mood → we wait.

3.4 RSI — "how tired is the runner?"

RSI (Relative Strength Index) is a number from 0 to 100 that measures momentum — basically, *how hard and how recently has the price been pushing?*

- RSI near **50** = neutral, balanced.
- RSI **above 50 and rising** = buyers are in control (fresh energy). 👍
- RSI very high (**above 80**) = the runner has been sprinting hard — *might* be getting tired (but see the warning below).

⚠️ **Common mistake we avoid:** many beginners sell the moment RSI hits 70 or 80 ("overbought!"). But in a strong up-move, **a tired-looking runner can keep running for a long time**. Selling just because RSI is high makes you dump your best trades too early. We do **not** use "RSI is high" as a sell signal.

3.5 ATR — "how bouncy is this ball?"

ATR (Average True Range) measures how much a stock *typically* moves in a day — its bounciness.

- A calm stock might move ₹5/day → small ATR.
- A wild stock might move ₹50/day → big ATR.

Why it matters: a super-bouncy ball needs more room to bounce, or you'll "lose" it. A wild stock needs a **wider stop-loss** so normal daily bouncing doesn't kick us out. ATR lets us set stops that fit *each* stock's personality instead of using one dumb fixed number for everyone. We'll use this a lot in Parts 8 and 9.

3.6 Volume — "how many people are cheering?"

Volume = how many shares traded that day = how many people are participating.

- A price breakout on **low** volume = a few kids clapping. Probably fake. 🙄
- A price breakout on **huge** volume = the whole crowd roaring. Real move. 👍

Why it matters: volume is the *proof* behind a price move. This is the one dimension the popular "SuperTrend + RSI" strategies ignore — and it's the backbone of ours.

Part 4 — The 5 questions

Every single trade we take must answer **five questions, in order**. If any answer is "no," we do nothing and wait. This is the entire strategy in one frame:

Q1. Is the whole MARKET healthy?	→ if no, STOP
Q2. Is THIS stock a good candidate?	→ if no, SKIP
Q3. Is it waking up RIGHT NOW?	→ if no, WAIT
Q4. How MUCH do I buy?	→ math decides

Q5. When do I GET OUT?

→ planned before |

Notice the shape: **three filters that mostly say "no," then two rules that manage money and risk.** Great trading is mostly *saying no* and *sizing right* — not finding magic buy signals. Let's go deep on each.

Part 5 — Q1: Is the market healthy?

The idea: the tide lifts (or sinks) all boats

You can be the best sailor with the best boat, but if the **tide** is going out, you're fighting the ocean. In the market, the "tide" is the overall index (NIFTY). **~3 out of 4 stocks move in the same direction as the market.** So trading against the market tide is fighting bad odds for no reason.

The rule

Only take new buy trades when NIFTY is ABOVE its 200-day moving average, AND its 50-day MA is above its 200-day MA.

NIFTY price ABOVE its 200-day average →  GREEN LIGHT — hunt for trades
 NIFTY price BELOW its 200-day average →  RED LIGHT — no new buys, wait

Why *two* conditions (200-DMA and 50 > 200)?

- **Price above 200-DMA** = "the market is in a long-term uptrend right now."
- **50-DMA above 200-DMA** = "the uptrend is *established*, not a one-day fluke."

Together they mean: *the tide is genuinely coming in*. This single filter removes most of the big, painful losing streaks — because it stops us from buying breakouts during market crashes, when almost everything fails no matter how good it looks.

Why this is the highest-value rule in the whole doc

Most beginner strategies obsess over the perfect *buy signal* on a single stock and completely ignore the market. But research and hard experience both say the same thing: **the market's regime matters more than any single stock's chart.** Get this one right and you've already beaten most retail traders.

Part 6 — Q2: Is this a good stock?

Now that the market is healthy, we look for stocks in that "crouch before the jump" state. This is your existing **Siva** logic — it's genuinely good, and we keep it. It has two checks: *can we even trade it* (liquidity), and *is it building a base* (the setup).

6.1 Liquidity — "can I get in and out easily?"

Imagine trying to sell a rare toy: if only 2 people in the world want it, you're stuck. But a popular toy sells instantly. Stocks are the same. We only trade stocks where **lots of shares change hands daily**, so we can enter and exit at fair prices.

Rule: average daily traded value over 20 days > ₹5 crore (or avg volume

2,00,000 shares), and price > ₹80.

Why: thin, cheap stocks have wild, unfair prices and are easy to manipulate. We avoid them entirely.

6.2 The base — "the crouch before the jump"

We want a stock that (a) fell and cooled off, (b) then went quiet and sideways, (c) with volume drying up. Three sub-checks:

(a) Momentum reset — the stock cooled down from being hot.

RSI averaged over the last 25 days sits in a **calm 35–48 range**, and at some point dipped below 35.

Why: we want sellers to be **exhausted**. A stock that already fell and went quiet has "shaken out" the nervous holders. Fresh buyers now have room to push it up. Buying something already screaming higher = buying when it's expensive and tired.

(b) Base formation — price went sideways in a tight range.

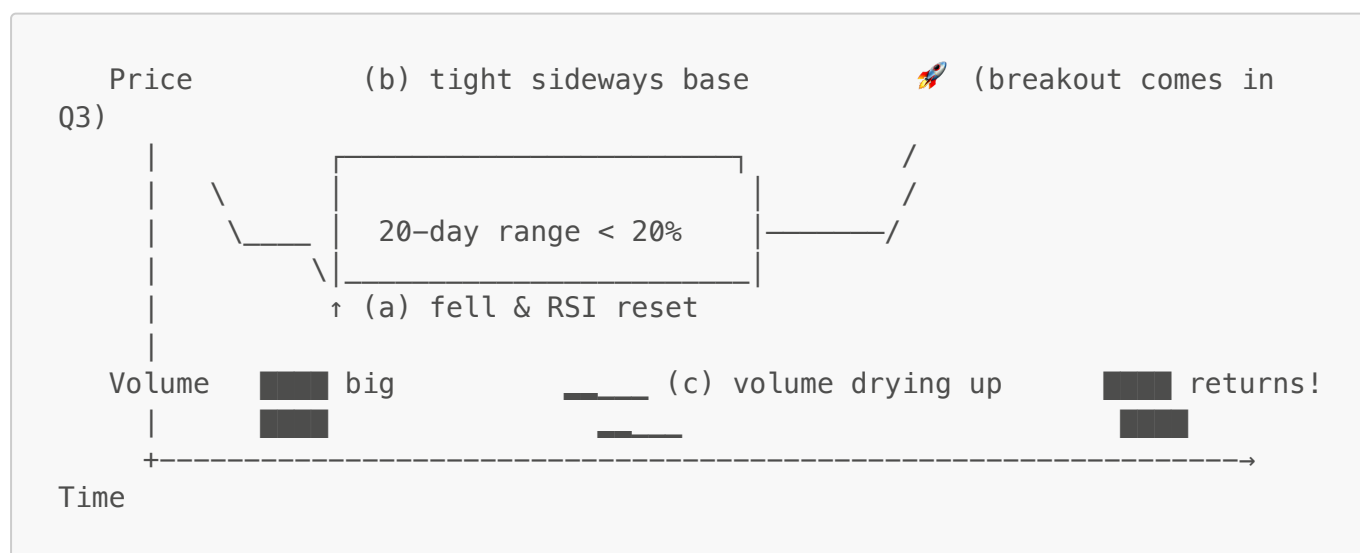
Over the last 20 days, (highest high – lowest low) / lowest low < 20%.

Why: a **tight** base is a tightly coiled spring. The narrower the crouch, the more explosive the jump, and the *closer* our safety-stop can sit (small risk).

(c) Volume dry-up — everyone stopped paying attention.

Average volume of last 10 days < average volume of last 30 days.

Why: falling volume during the base means **selling has stopped** (no one left who wants out). It's the calm before the storm. When volume then suddenly returns, that's our signal (Q3).



Stocks that pass Q2 go on a **watchlist**. They are *candidates*, not buys yet. We wait for them to actually wake up.

Part 7 — Q3: Is it waking up now?

A watchlist stock becomes a **buy** only when the spring actually uncoils. Three things must happen together, ideally on the **same day**:

7.1 Volume expansion — "the crowd arrives"

Today's volume $\geq 1.5\times$ the 20-day average (a *strong* signal is $\geq 2\times$).

Why: this is the roar of the crowd confirming the move is real. A breakout without volume is a trap.

7.2 Price breakout — "over the ceiling"

Today's close is **above the highest high of the last 15 days**.

Why: the "lid" of the base finally breaks. Buyers have overwhelmed the last sellers sitting at that ceiling.

7.3 Momentum confirms — "fresh energy"

RSI is **above 50 and higher than it was 5 days ago**.

Why: confirms the push is real and accelerating, not a dying twitch.

7.4 Bigger-picture confirm (MTF) — "don't fight the weekly chart"

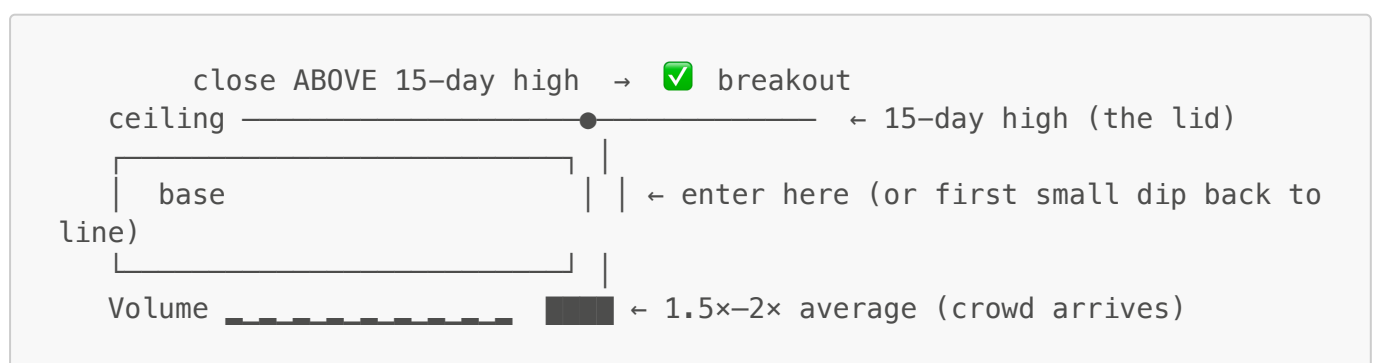
On the **weekly** chart, price is above its 20-week average (or weekly RSI > 55).

Why: a daily breakout inside a *weekly* downtrend often fails. This is the one genuinely good idea we borrowed from the SuperTrend strategy you pasted: check a **higher timeframe** agrees before you commit.

7.5 Don't chase!

Enter on the breakout candle, or on the **first small pullback** back toward the breakout level. If the stock has already run up 8–10% *past* the breakout, we skip it.

Why: chasing a stock that already flew means buying high with a far-away stop = big risk, small remaining reward. Patience beats FOMO.



If all of Q1–Q3 are "yes," we have a valid trade. Now the two money rules.

Part 8 — Q4: How much do I buy?

This is the most important part of the whole document. Most people lose money here, not on picking stocks. Read it twice.

The golden rule: survive first

Never risk more than 1% of your total money on a single trade.

If you have ₹1,00,000, you never let a single trade lose more than **₹1,000**. Why so small? Because **you will be wrong often** (that's normal — see Part 11). If each mistake only costs 1%, you can be wrong 10 times in a row and still have 90% of your money to recover. If you bet big, *one* bad trade can wipe you out. The #1 job of a trader is to **not go broke** so you're still here when the big winners come.

The magic: the STOP decides the size (not a fixed quantity)

Here's the clever bit. Two things set your position size:

1. **How much you'll risk** (1% of capital = the rupees you're willing to lose).
2. **How far away your stop-loss is** (how much room the stock needs).

Then: **Quantity = (money you'll risk) ÷ (distance from entry to stop).**

Where does the stop go? (ATR — remember the bouncy ball)

Initial stop = the **tighter** of: the base's recent swing low, **or 2 × ATR** below your entry price.

Why ATR: a bouncy stock needs a wider stop so normal wiggles don't kick us out. A calm stock can use a tight stop. ATR sizes the stop to *each stock's personality*.

Worked example (real numbers, slowly)

Say:

- Your capital = **₹1,00,000** → 1% risk = **₹1,000** you're willing to lose.
- You buy stock at entry = **₹500**.
- ATR = ₹10, so 2×ATR = ₹20 → stop = ₹500 – ₹20 = **₹480**.
- Risk *per share* = ₹500 – ₹480 = **₹20**.

Now the size:

$$\begin{aligned}\text{Quantity} &= \text{money at risk} \div \text{risk per share} \\ &= ₹1,000 \div ₹20 \\ &= 50 \text{ shares}\end{aligned}$$

So you buy **50 shares** (costing ₹25,000). If the stop hits, you lose $50 \times ₹20 = \text{₹1,000} = \text{exactly 1\%}$. Planned. Controlled. Survivable.

Notice: a *wilder* stock (bigger ATR → wider stop) would give you a *smaller* quantity automatically. The math keeps every trade's risk identical no matter how bouncy the stock. **That's the whole point.**

Safety caps (so no single trade dominates)

- **≤ 20% of capital** in any one stock (even if the math allows more).
- **≤ 6 positions** open at once (don't spread too thin or over-concentrate).
- Always keep some **cash** — for new opportunities and emergencies.

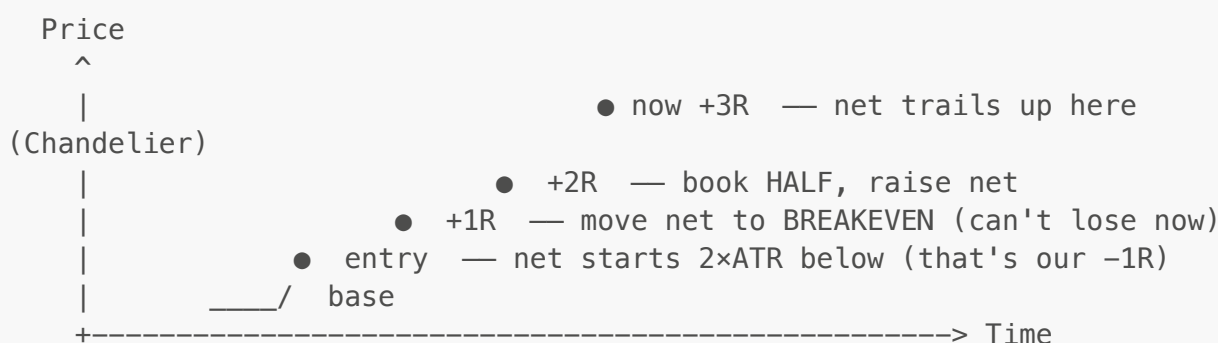
Part 9 — Q5: When do I get out?

We plan every exit *before* we buy. There are two kinds of exits: the "I was wrong" exit (small, fixed) and the "I'm right, protect the profit" exits (a ladder that follows price up). We use a concept called **R**.

R = your initial risk. In the example above, $R = ₹20/\text{share}$ (or ₹1,000 total). Everything is measured in R. "+2R" means the trade made twice what we risked. Thinking in R keeps it simple: we want winners worth *many* R and losers capped at *1R*.

The exit ladder (raise the safety net as we climb)

Picture a rock climber going up, with a safety net below them. As they climb, you **raise the net** so a fall never drops them far. That's a **trailing stop**.



Step by step:

1. **Initial stop (-1R):** the ₹480 stop from Part 8. If hit, we lose exactly 1R and move on. No emotions.
2. **Breakeven at +1R:** once the trade is up by 1R, move the stop up to our entry price. **Now the trade can't lose money.** Worst case = ₹0, not -1R.
3. **Book partial at +2R:** sell **half** the position. We've locked in real profit; the rest rides for free, essentially.
4. **Trail the rest (Chandelier stop):** keep a stop at **(highest price reached since entry) - 3xATR**. As the stock makes new highs, this net rises with it. We only exit when the stock finally pulls back by 3xATR from its peak — letting big winners run for the full 15–30% swing.
5. **Time stop:** if after ~15 trading days the trade is going *nowhere* (not even +5%), we exit and free the money for a better setup. **Dead money is a cost.**

The exits we deliberately do NOT use (and why)

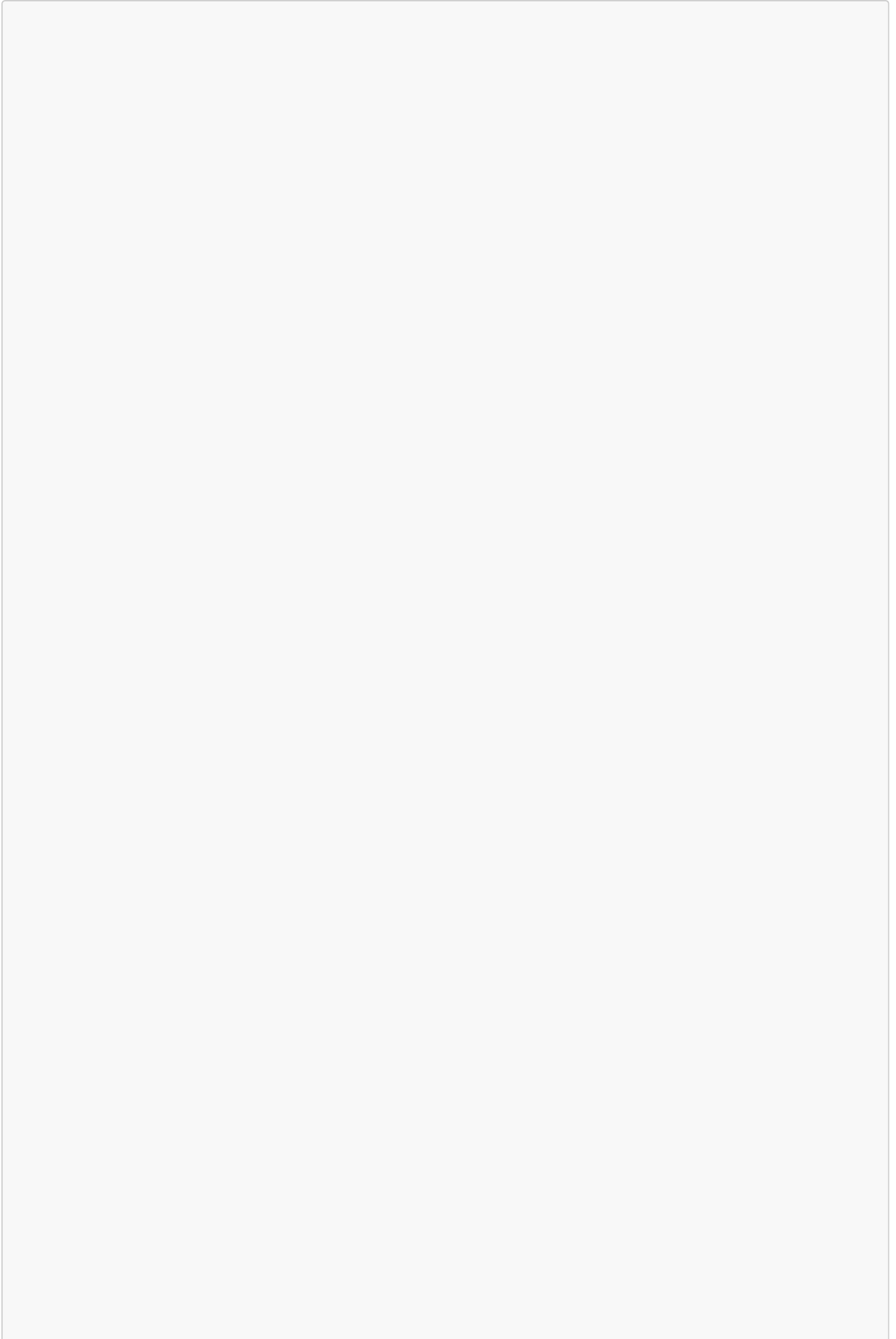
These are popular but they *hurt* a trend-following swing strategy:

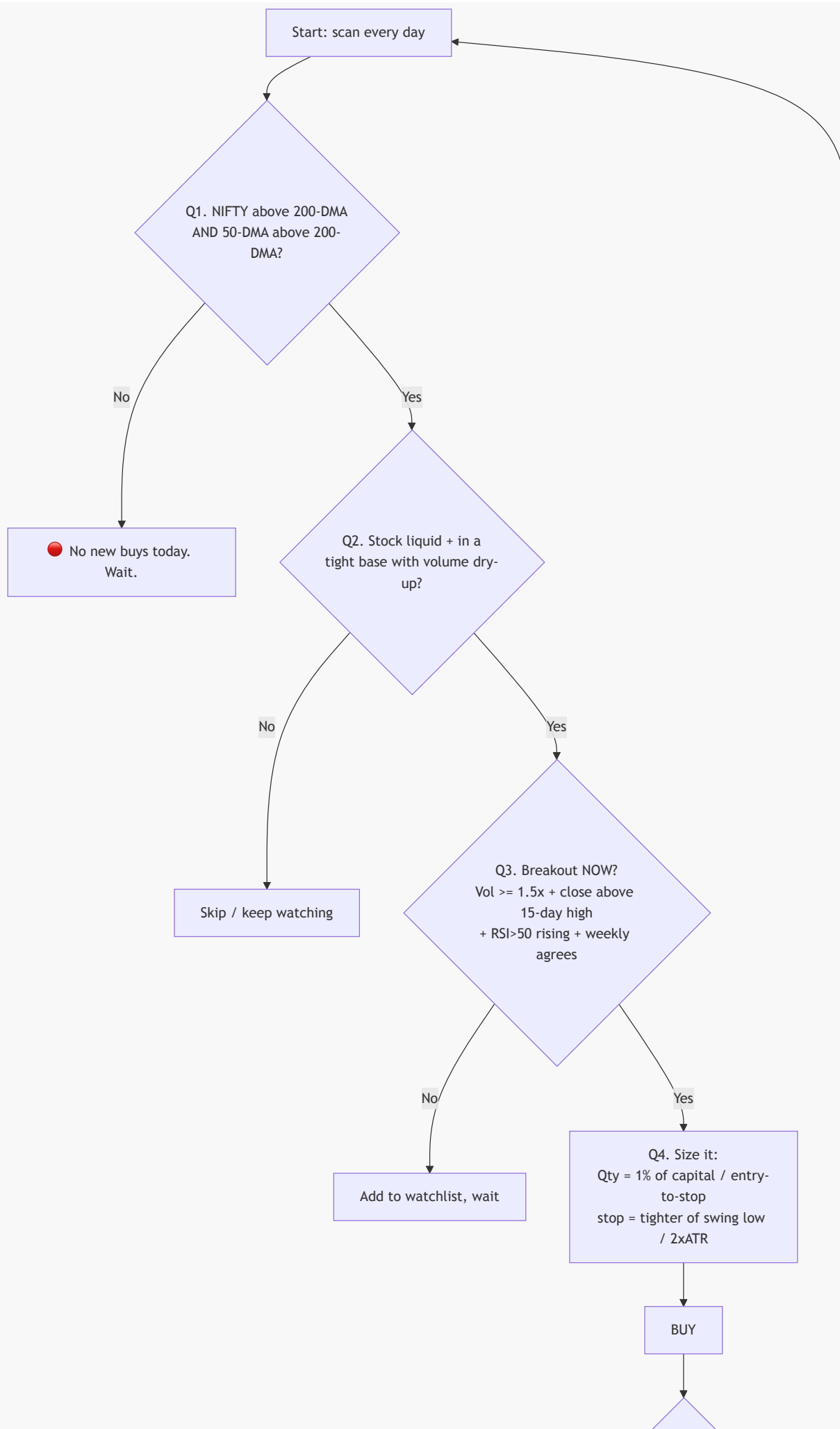
- ❌ **"Sell when price dips below the 10-day MA."** A 10-day line gets nicked during *normal* healthy pullbacks. This exit chops you out of great trends early and churns fees. (This was a flaw in the SuperTrend strategy you pasted.)
- ❌ **"Sell when RSI > 80."** As explained in Part 3, strong stocks stay "overbought" for weeks while climbing. Selling on high RSI dumps your best winners early. We let the **trailing stop** decide the exit, not a tiredness meter.

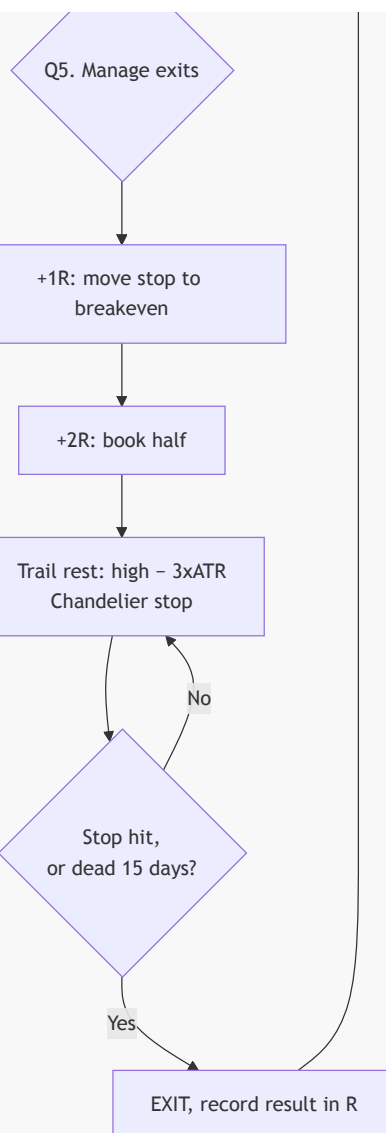
Instead of hard-selling on high RSI, if we see a **bearish divergence** (price makes a new high but RSI makes a *lower* high — the runner is quietly slowing), we simply **tighten the trailing net** a bit. We don't panic-sell.

Part 10 — The full picture

The whole decision as a flowchart







A full story trade (start to finish)

Day 0. NIFTY is comfortably above its 200-DMA → 🟢 green light (Q1 pass). A stock, "ABC Ltd," fell months ago, then went sideways in a tight 12% range for 4 weeks with volume drying up (Q2 pass). It's on our watchlist.

Day 1 (breakout). ABC closes at ₹500, above its 15-day high of ₹495, on **2.1× average volume**, RSI 58 and rising, weekly chart in an uptrend (Q3 pass). ATR is ₹10.

Sizing (Q4). Capital ₹1,00,000, risk 1% = ₹1,000. Stop = ₹500 - 2×₹10 = **₹480**. Risk/share = ₹20. Quantity = ₹1,000 ÷ ₹20 = **50 shares**.

Day 6. ABC rises to ₹520 (that's +1R). We move the stop to **₹500 (breakeven)**. The trade can no longer lose money. 😊

Day 10. ABC hits ₹540 (+2R). We **sell 25 shares** (half), banking ₹1,000 profit. The other 25 shares ride with a Chandelier stop.

Day 18. ABC has climbed to ₹575. Chandelier stop = ₹575 - 3×₹10 = **₹545**, which has trailed up nicely.

Day 23. ABC pulls back to ₹545 → trailing stop hit. We **sell the last 25 shares** at ₹545. That's + ₹1,125 on those.

Result: total profit $\approx ₹1,000 + ₹1,125 = ₹2,125$ on ₹1,000 risked $\approx +2.1R$, in ~ 3 weeks. And at no point after Day 6 could we have lost money. *That* is a clean swing trade.

Part 11 — What to honestly expect

I will never sell you a fantasy. Here's the truth about how a system like this actually performs:

- **Win rate $\approx 40\text{--}50\%$.** You will lose *slightly more than half* your trades. **That is completely normal and still very profitable.** Why? Because...
- **Losers are small ($\sim 1R$), winners are big ($2\text{--}5R$).** You lose ₹1,000 on mistakes but make ₹2,000–₹5,000 on the good ones. A few big winners pay for many small losers, with profit left over.
- **Most of your yearly profit comes from a handful of trades.** The rest roughly cancel out. This is why you must (a) keep losers tiny and (b) let winners run — the two things Parts 8 and 9 are entirely about.
- **Drawdowns of 15–25% happen.** There will be losing streaks. The **regime filter (Q1)** is what keeps these from becoming account-ending 50% craters.
- **You need patience.** Some weeks there are zero valid setups (especially when the market is ). Doing nothing *is* the correct trade then.

The mindset: you are running a **casino, not playing the lottery**. No single hand matters. Your edge shows up over *hundreds* of trades where each risk is tiny and controlled. Boring and consistent beats exciting and broke.

Part 12 — How we build it

Good news: your `equity_swing` project already has most of the pieces.

Already in the codebase

- `indicators.py` computes **RSI, ATR, EMA 20/50/200, MACD, Bollinger, CCI, VWAP** → so ATR-sizing, ATR/Chandelier trailing, EMA regime, and RSI are all available today.
- `siva_scanner.py` already implements the **Q2 + Q3 entry engine** (base + breakout).
- `paper_portfolio.py` already tracks trades and P&L.

What we add

1. **Regime module (Q1):** fetch NIFTY daily, compute 200-DMA & 50-DMA, expose a simple / gate that blocks new entries when red.
2. **Position sizer (Q4):** the `qty = risk₹ ÷ (entry - stop)` math, with the $2 \times \text{ATR}$ / swing-low stop and the 20%/6-position caps.
3. **Exit manager (Q5):** breakeven-at- $+1R$, partial-at- $+2R$, Chandelier trail, time stop. Extend `paper_portfolio.py` to store **R**, stop level, and highs.
4. **MTF confirm (Q3.4):** weekly resample of price → weekly EMA20 / weekly RSI check.
5. **Reporting:** log every closed trade in **R-multiples**, and show running **win rate, average R, expectancy, and max drawdown** — so we can *prove* the edge on paper before risking a single real

rupee.

The plan

Paper-trade first. Run the full system on live data in paper mode, collect a few dozen trades, check the stats in Part 11 are actually showing up, *then* consider real money. Same disciplined path used for the options strategies.

Part 13 — Glossary

Term	Simple meaning
Share / stock	One slice of ownership in a company.
Swing trade	Catch one up-move lasting days-to-weeks, then exit.
Base / consolidation	A quiet sideways "resting" period before a big move.
Breakout	Price bursting above the top of its base, usually on high volume.
Moving Average (MA/DMA)	The smoothed average price over N days; shows the trend.
200-DMA	The long-term trend line; used for the market "mood" check.
RSI	Momentum meter (0–100); >50 rising = buyers in control.
ATR	Average daily price range; how "bouncy" a stock is.
Volume	How many shares traded; the "crowd size" behind a move.
Regime filter	The rule that we only buy when the whole market is healthy.
Stop-loss	A pre-decided price where we exit a losing trade, no arguing.
R	Your initial risk on a trade; the unit we measure everything in.
Trailing stop	A stop that rises as the stock rises, locking in gains.
Chandelier stop	A trailing stop set at (highest high – 3×ATR).
MTF	Multi-timeframe — checking a bigger chart (weekly) agrees.
Drawdown	How far your account falls from its peak during a bad stretch.
Expectancy	Average profit per trade in R; positive = the edge is real.

Part 14 — All settings in one place

These are the **default knobs**. Every one is tunable later; these are sensible starting points.

Setting	Default	Question
Market regime	NIFTY > 200-DMA and 50-DMA > 200-DMA	Q1
Min price	₹80	Q2

Setting	Default	Question
Min liquidity	avg turnover(20) > ₹5 Cr or vol(20) > 2,00,000	Q2
Momentum reset	RSI_mean(25) ∈ [35, 48], min RSI(25) < 35	Q2
Base tightness	20-day range < 20%	Q2
Volume dry-up	avg vol(10) < avg vol(30)	Q2
Breakout volume	≥ 1.5× avg(20) (strong ≥ 2×)	Q3
Breakout price	close > highest-high(15)	Q3
Momentum confirm	RSI > 50 and rising vs 5 days ago	Q3
MTF confirm	weekly close > weekly EMA20 (or weekly RSI > 55)	Q3
No-chase limit	skip if > ~8–10% past breakout	Q3
Risk per trade	1% of capital	Q4
Initial stop	tighter of swing low / 2×ATR(14)	Q4/Q5
Max per position	20% of capital	Q4
Max open positions	6	Q4
Breakeven	move stop to entry at +1R	Q5
Partial book	sell half at +2R	Q5
Trailing stop	Chandelier = highest-high – 3×ATR(14)	Q5
Time stop	exit if < +5% after 15 trading days	Q5
Divergence	tighten trail (do not hard-sell)	Q5

One-line summary

When the market is healthy, buy quiet stocks the moment they break out on big volume, risk only 1% per trade with an ATR-based stop, then let a trailing stop ride the winners and cut the losers small.

That's it. Everything above is just the detailed "why" behind that one sentence.